



Assessing Demand for Your Business

Being enthusiastic about your business is essential, but it is a mistake to assume that everyone else shares that enthusiasm. Be objective and carry out research to establish what kind of demand there is for your product or service.

Understanding demand

In order to sell your product or service, there must be a demand for it. In other words, there must be enough people willing to buy from you at a price that will generate a profit. You must also consider the number of existing suppliers of

your product (your competitors), since oversupplying a market can force down prices, which would then reduce your potential profits.

In addition to the size of the market, also consider where and when demand exists. For example, although people may want your

product, they will need to be able to access it. How will you make this happen? Similarly, if people want your product only at certain times of the year, or in response to a current trend, your idea may not be viable in its current form. If you are unable to answer

Developing your idea

To identify and assess the demand for your business idea, carry out some careful research. This is not expensive but will take time. Start with a full understanding of your current idea, who it is for, and why people want it. Research potential markets, seek advice, and try out your ideas. Take time to review each stage and be willing to adapt your idea. Be prepared to walk away from ideas that will not work, but do not give up. Even if you find little demand for one idea, you may uncover a much better alternative during the process.



Clarify your idea

To assess the viability of your product or service, find out how much demand there is for it. To do this, begin by asking yourself the following questions:

- › **Who are your customers?** Are they local, national, or global? Are there enough of them, and can you reach them?
- › **Who are your competitors?** What do they offer, and what do they charge? Are they a threat to your business?
- › **What are customers looking for?** Would they buy your product? What else could you offer instead?
- › **How are potential competitors performing?** Are they growing, stagnating, or failing?



Conduct desk research

Look online to see what rivals offer and read customer reviews. Search for statistical data, customer profiles, market research reports, and industry journals, much of which is available at little or no cost.

Refine your idea

Take time to refine your idea based on what you have learned. Consider rethinking your product or service if the market for it is small or already well catered to.